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CVC guidelines on Public procurement, guide-lines and instructions on e-procurement.

DISCLAIMER: *This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations, this document is intended as a study aid only. Readers and students are strongly recommended to refer to official government sources or gazettes for the most reliable and authoritative information.*

CVC Guidelines on Public Procurement, Guidelines and Instructions on E-Procurement

ABOUT THE CENTRAL VIGILANCE COMMISSION (CVC)

The Central Vigilance Commission is conceived to be the apex vigilance institution, free of control from any executive authority, monitoring all vigilance activity under the Central Government and advising various authorities in Central Government organizations in planning, executing, reviewing and reforming their vigilant work.

The CVC exercises powers conferred on it under **Section 8(1)(h)** of the CVC Act to issue binding instructions on procurement, tendering, and allied matters to all Ministries/Departments, PSUs, Banks, Insurance Companies, and Autonomous Organizations/Societies under the jurisdiction of the Commission.

PART – A : E-PROCUREMENT / REVERSE AUCTION / E-PAYMENT / E-RECEIPT / MOBILIZATION ADVANCE

Office Order No. 46/9/03

Subject: E-Procurement / Reverse Auction No. 98/ORD/1 | Central Vigilance Commission
| Dated the 11th September 2003

To All Chief Vigilance Officers

The commission has been receiving a number of references from different departments/organizations asking for a uniform policy in this matter. The departments/organizations may themselves decide on e-procurement/reverse auction for purchases or sales and work out the detailed procedure in this regard. It has, however, to be ensured that the entire process is conducted in a **transparent and fair manner**.

Office Order No. 20/4/04

Subject: Improving Vigilance Administration — Increasing Transparency and cutting delays by e-payments and e-receipt by Govt. Organizations etc. No. 98/ORD/1 | Central Vigilance Commission | Dated the 8th April 2004

The commission has been receiving complaints about inordinate delays in making payments to the vendors and other suppliers to the Govt. organisations, Public Sector Undertakings etc. Similarly complaints are received about delays in getting refunds from taxation dept. and other departments. Apart from increasing the cost of procurement, the delays lead to opportunities for corruption. A number of measures are required to cut down on delays in making payments. One such step is restoring to mechanism of e-payments and e-receipts wherever, such banking facilities exist.

In the last few years tremendous progress has been made by the banking sector in computerization including net-working of branches, making it possible to do e-banking by making use of facilities like **electronic clearing system (ECS)** and **electronic fund transfer (EFT)** etc. These facilities are available in most of the banks including the State Bank of India as well as in private banks. A large number of corporate including public sector undertakings are already making e-payments to vendors and employees instead of making payments by issue of cheques.

The commission has been receiving complaints that delay is intentionally caused with ulterior motives in the issue and dispatch of cheques in the accounts and finance wings of a large number of Govt. Organizations. As the e-payment facility is already available in the metros as well as practically in all the main urban centers of the country, in order to curb the above mentioned malpractices, the CVC in the exercise of powers conferred on it under **Section 8(1)(h)** issues following instructions for compliance by all govt. departments, PSUs, banks and other agencies over which the Commission has jurisdiction.

1. The payment to all suppliers/Vendors, refunds of various nature, and other payments which the organizations routinely make shall be made through **electronic payment mechanism** at all centers where such facilities are available in the banks.

2. Salary and other payments to the employees of the concerned organizations at such centers shall also be made through **electronic clearing system (ECS)** wherever such facilities exist.

As the organizations will have to collect bank account numbers from the vendors, suppliers, employees and others who have interface of this nature with the govt. organizations, concerned organizations may plan to switch over to e-payment system in a phased manner with transactions with the major suppliers in the beginning or in whatever manner is more convenient.

It is expected that in **three months** i.e. by **1st July 2004**, **50%** of the payment transactions in value terms as well as in terms of number of transactions shall be made through ECS/EFT mechanism instead of payment through cheques. The remaining **50%** payment transactions at all centers where such facilities exist shall be made by **31st Dec 2004**.

These instructions are applicable to all the metro cities and other urban centres where links provide ECS/EFT and similar other facilities.

The departments, PSUs, Banks etc. should also provide an enabling environment and facilities so that businessmen and other citizens can make payment of Govt dues and payments to PSUs etc. electronically.

In addition to significantly reducing processing costs in preparation and dispatch of cheques, the above measures also reduce the risk of frauds by providing speed, efficiency and reconciliation of accounts.

Office Order No. 68/10/04

Subject: Leveraging Technology — e-payment & e-receipt No. 98/ORD/1 | Central Vigilance Commission | Dated the 20th October 2004

Reference is invited to the Commission's Office Order No. 20/4/004 dated 6.4.2004 regarding the above mentioned subject.

1. The Commission had directed that by **July 2004**, **50%** of the payment transactions both in value terms as well as in lieu of number of transactions shall be made through ECS/EFT mechanism instead of payments through cheques; and urged all Banks, PSUs and Departments to provide an enabling environment and facilities so that such an initiative is successful. It has been informed that some of the organizations are yet to initiate the process in this regard. The organizations are, therefore, requested to forward the details regarding the implementation of e-payment mechanism, as per the enclosed format by **November 15, 2004** positively.

Format for Reporting – Leveraging Technology (e-payments & e-receipts)

(A) Details regarding payments of salary etc. to employees

Sr.	Data Point
1	Total No. of employees
2	No. of employees whose Bank A/c details including MICR have been received
3	% in terms of numbers of employees to whom salary & other dues are being paid through e-payments

(B) Details regarding payments of dues to contractors/suppliers etc.

Sr.	Data Point
1	Number of contractors/suppliers/agents/assesses etc. dealt with regularly during the period July 2004 – September 2004
2	Number of contractors/suppliers/agents/assesses etc. whose bank account details including MICR have been received
3	Total payments made to all contractors/suppliers/assesses/CHAs during the period July 2004 – September 2004 (Amount in Rupees in lakhs)
4	Total payments made through e-payments during the above period (Amount in Rupees in lakhs)
5	% of Bills (in terms of number of payments) in which e-payment is made
6	% of value of payments made through e-payments
7	List of nodal officers entrusted with the responsibility of managing charge to e-payment system

Office Order No. 11/03/05

Subject: Delays in Payments to Contractors & Suppliers etc. — Reducing opportunities for corruption No. 005/ORD/1 | Central Vigilance Commission | Dated the **10th March 2005**

To All the Chief Vigilance Officers

The Commission has observed that in a large number of Government organizations and PSUs, payments to contractors/suppliers are inordinately delayed. This makes the system vulnerable to corruption, in addition to increasing the cost of procurement by the Government agencies.

2. The Commission has therefore directed that all the CVOs should undertake a review of bills received during the last **six months**. The review is meant to primarily determine the time taken in clearing the bills. Necessary help from the concerned Finance/Administration departments may be taken wherever required. Wherever the systems have not yet been computerized there may be practical difficulties in conducting such a review for all the bills. The organisation may fix a cut off limit for review. It is suggested that cut off limit for bills can be **Rs. 1 lakh** i.e. time taken for payment of all bills above this amount should be seen. In smaller organizations the cut off limit can be lower depending on feasibility and convenience.

3. The CVO should also review whether payments are being made on "**first-come-first serve**" basis or not.

4. A compliance report in this regard may be sent to the Commission by **15.4.2005** as per the following details:

Statement on Delays in Bill Payments

Category	Time Bracket	Details Required
Bills paid in time	Within 15 days	No. of bills & Amount involved
Bills paid late	15–30 days	No. of bills & Amount involved
Bills paid late	30–60 days	No. of bills & Amount involved
Bills paid late	60–120 days	No. of bills & Amount involved
Bills paid very late	Over 120 days	No. of bills & Amount involved

5. There are also complaints that most of the organizations take inordinately long time in releasing **5% bills amount** which is normally retained as **performance guarantee** after it becomes due. CVO may do a similar exercise with regard to release of this payment.

Circular No. 29/9/09

Subject: Implementation of e-tendering solutions No. 009/VGL/002 | *Central Vigilance Commission | Dated 17th September 2009*

To All CVOs of Ministries/Departments/PSUs/Banks/Insurance Companies/Autonomous Organizations/Societies/UTs

Guidelines were prescribed in this OM of even number dated **13.01.2009**, on the above cited subject, advising organizations to follow a **fair, transparent and open tendering procedure**, to select the application service provider for implementing their e-tendering solutions.

2. It is clarified that while ensuring fair place, transparency and open tendering procedure for e-tendering solutions, the organizations must take due care to see that **effective security provisions** are made in the system to prevent any misuse. In this regard, the guidelines on security related issues in e-tendering systems are enclosed for information. Organizations concerned may follow these guidelines while implementing e-tendering solutions to contain the security related loop holes.

Guidelines on Security Considerations for e-Procurement System

(Annexure to Circular No. 29/9/09 dated 17.09.2009)

1.0 E-procurement Systems

E-procurement provides a platform for the collaborative procurement of goods, works and services using **electronic methods at every stage** of the procurement process. The e-procurement platform transacts confidential procurement data and is exposed to several security threats. Agencies World over face threats to their online e-procurement

platforms and the same are addressed by employing a combination of security features and security best practices which result in reduced threat of data loss, leakage or manipulation.

2.0 Security of e-Procurement System

2.1 Security of e-procurement system is essentially an amalgamated output of **Security of Infrastructure, Application and Management**. Assuming the management issues are taken care of the following aspects of Infrastructure and Application are essential to have a fairly secure e-Procurement.

2.2 Security at Infrastructure Level

Issue	Best Practices to Achieve Security Considerations
Perimeter Defence	Deployment of routers, Firewalls, IPS/IDS, Remote Access and network segmentation
Authentication	Network authentication through deployment of password policy for accessing the network resources. To minimize unauthorized access to the e-procurement system at system level
Monitoring	Deployment of logging at OS/network level and monitoring the same
Secure configuration of network host	The security of individual servers & workstations is a critical factor in the defence of any environment, especially when remote access is allowed. Workstations should have safeguards in place to resist common attacks
System patching	As the vulnerability of the system are discovered almost regularly and the system vendors are also releasing the patches. It is expected the host are patched with latest security updates released by the vendors
Control of malware	Suitable control like anti-virus, anti spyware etc. should be deployed on the host associated with e-procurement system
Structured cabling	The availability of the network services is critically dependent on the quality of interconnection between the hosts through structured cabling including termination and marking

2.3 Security at Application Level

2.3.1 Security During Design

Issue	Best Practices to Achieve Security Considerations
Authentication	The authentication mechanism of the e-procurement application should ensure that the credentials are submitted on the pages that are served under SSL
Access Control	The application shall enforce proper access control model to ensure that the parameter available to the user cannot be used for launching any attack
Session management	The design should ensure that the session tokens are adequately protected from guessing during an authenticated session
Error handling	The design should ensure that the application does not present user error messages to the outside world which can be used for attacking the application
Input validation	The application may accept input at multiple points from external sources, such as users, client applications, and data feeds. It should perform validation checks of the syntactic and semantic validity of the input. All users supplied fields should be validated at the server side
Application logging and monitoring	Logging should be enabled across all applications in the environment. The application should log failed and successful authentication attempts, changes to application data including user accounts, server application errors and failed and successful access to resource

2.3.2 Security During Application Deployment and Use

Issue	Best Practices to Achieve Security Considerations
Availability – Clustering/Load balancing	Depending on the number of expected hits and access, the options for clustering of servers and load balancing of the web application shall be implemented
Application and data recovery	Suitable management procedure shall be deployed for regular backup of application and data. The regularity

	of data backup shall be in commensurate with the nature of transaction/business
Integrity of Application / Control of source code / Configuration management	Suitable management control shall be implemented on availability of updated source code and its deployment. Strict configuration control is recommended to ensure the latest software in the production system

2.3.3 Security in Data Storage and Communication

Issue	Best Practices to Achieve Security Considerations
Encryption for data storage	Sensitive data should be encrypted or hashed in the database and file system. Examples of widely accepted strong ciphers are 3DES, AES, RSA, RC4 and Blowfish . Use 128-bit keys (1024 bits for RSA) at a minimum
Data transfer security	Sensitive data should be encrypted prior to transmission. Encryption methodology like SSL must be deployed while communicating with the payment gateway over public network
Access control	Role-based access controls should be enforced at the database level as well as at the application interface. All attempts to obtain access, without proper authorization should be logged

3.0 Other Good Practices for Implementers of e-Procurement

3.1 Common Unified Platform for All Departments

A single platform to be used by all departments across a State/Department/Organizations reduces the threat to security of data. With a **centralized implementation**, wherein the procurement data is preferably hosted and maintained by the State/Department/Organizations itself, concerns of security and ownership of data are well addressed. A common platform further facilitates **demand aggregation** of common items across State/Department/Organizations, and results in economies of scale.

3.2 Public Key Infrastructure (PKI) Implementation

This is one of the most critical security features that are required to be implemented in order to establish **non-repudiation** and to ensure the security of the online system. Under

the system, participating contractors and suppliers, as well as the departmental users, are issued a **Digital Signature Certificate (DSC)** by a licensed Certification Authority.

3.3 Third Party Audit

It is recommended that the implemented solution be **audited by a competent third party at least once a year.**

Circular No. 10/4/07

Subject: Mobilisation Advance No. 4CC-1-CTE-2 | Central Vigilance Commission | Dated the 10th April 2007

Commission has reviewed the existing guidelines on 'Mobilisation Advance' issued vide OM No. UU/POL/18, dated **08.12.1997** and OM No. 4CC-1-CTE-2, dated **08.06.2004**. The following guidelines are issued **in supercession of earlier guidelines** issued by the Commission on 'Mobilisation Advance'.

1. Provision of mobilization advance should essentially be **need-based**. Decision to provide such advance should rest at the level of **Board (with concurrence of Finance)** in the organization.
2. Though the Commission does not encourage interest free mobilization advance, but, if the Management feels its necessity in specific cases, then it should be clearly stipulated in the tender document and its recovery should be **time-based and not linked with progress of work**. This would ensure that even if the contractor is not executing the work or executing it at a slow pace, the recovery of advance could commence and scope for misuse of such advance could be reduced.
3. Part 'Bank Guarantees' (BGs) against the mobilization advance should be taken in **as many numbers as the proposed recovery instalments** and should be equivalent to the amount of each instalment. This would ensure that at any point of time even if the contractor's money on account of work done is not available with the organization, recovery of such advance could be ensured by encashing the BG for the work supposed to be completed within a particular period of time.

4. There should be a clear stipulation of interest to be charged on **delayed recoveries** either due to the late submission of bill by the contractor or any other reason besides the reason giving rise to the encashment of BG, as stated above.
5. The amount of mobilization advance; interest to be charged, if any; its recovery schedule and any other relevant detail should be **explicitly stipulated in the tender documents upfront**.
6. Relevant format for BG should be provided in the tender document, which should be enforced strictly and **authenticity of such BGs should also be invariably verified from the issuing bank, confidentially and independently** by the organization.
7. In case of 'Machinery and Equipment advance', **insurance and hypothecation to the employer** should be ensured.
8. Utilization certificate from the contractor for the mobilization advance should be obtained. Preferably, mobilization advance should be given in **installments** and subsequent instalments should be released after getting satisfactory **utilization certificate** from the contractor for the earlier instalment.

SELF LEARNING

PART — B : NIT / TENDERING / NEGOTIATIONS / PURCHASE CONTRACTS / BANNING OF BUSINESS

No. 98/ORD/1 — Dated the 15th March 1999

Subject: Improving Vigilance Administration — Tenders (Post-Tender Negotiations)

Please refer to CVC's instructions issued under letter No. **8(1)(h)/98(1)** dated 18/11/98 banning post tender negotiations except with L-1 i.e., the lowest tenderer. The following clarifications are issued with the approval of Central Vigilance Commissioner:

- i. The Government of India has a purchase preference policy so far as the public sector enterprises are concerned. It is clarified that the **ban on the post tender negotiations** does

not mean that the policy of the Government of India for purchase preference for public sector should not be implemented.

ii. Incidentally, some organizations have been using the public sector as a shield or a conduit for getting costly inputs or for improper purchases. This also should be avoided.

iii. Another issue that has been raised is that many a time the quantity to be ordered is much more than L-1 alone can supply. In such cases the quantity order may be distributed in such a manner that the purchase is done in a **fair transparent and equitable manner**.

No. 3(V)/99/9 — Dated the 1st October 1999

Subject: Applicability of CVC's Instruction No. 8(1)(h)/98(1) dated 18/11/98 on post-tender negotiations to Projects of the World Bank & other international funding agencies

The commission has banned **post-tender negotiations except with L-1** vide its instruction No. 8(1)(h)/98(1) dated 18.11.98.

2. A clarification sought by many Departments/Organization, which is vital and has relevance to many of the organizations, relates to the applicability of the above said instruction of CVC to World Bank Projects. It has been decided after due consideration, that **in so far as the World Bank Projects and other international funding agencies such as IMF, ADB etc. are concerned**, the department/organizations have no other alternative but to go by the criteria prescribed by the World Bank/concerned agencies and the Commission's instruction would not be applicable specifically to those projects. However, the instruction of the CVC will be binding on purchases/sales made by the departments within the Country. The CVC's instruction of 18/11/98 will apply even if they are made with sources outside the Country and if they are within the budget provisions and normal operations of the Department/Organisation.

3. All CVOs may ensure **strict compliance** of this instruction.

No. 98/ORD/1 — Office Order No. 10/2/04 — Dated 11th February 2004**Subject: Increasing Transparency in Procurement/Tender Process — Use of Website**

The Commission had issued its Order No. 98/ORD/1 dt. 18.12.03 making it mandatory to use web-site in all cases where open tender system is resorted to. These instructions have been further extended to tenders of **short-term nature** (by whatever name it is called in different organizations).

The Commission is of the opinion that in order to bring about greater transparency in the procurement and tendering processes, there is need for **widest possible publicity**. There are many instances in which allegations have been made regarding inadequate or no publicity and procurement officials not making available bid documents, application forms etc. in order to restrict competition.

These instructions are with regard to all cases where **open tender system** is resorted to for procurement of goods and services or for auction/sale etc. of goods and services.

These instructions shall take effect from **1st January 2004** for all such organisations whose web-sites are already functional. All other organisations must ensure that this facility is provided before **1st April 2004**.

Office Order No. 43/7/04**Subject: Increasing Transparency in Procurement/Sale — Use of Website** No. 98/ORD/1
| *Dated 2nd July 2004*

The Commission had issued a directive vide No. 98/ORD/1 dated 18th December 2003 wherein detailed instructions are issued regarding the use of web-site for tendering process. The objective is to improve vigilance administration by increasing transparency. The instructions were to take effect from **1st January 2004**. It is noticed that many organizations whose web-sites are functional are still not putting their tenders on the web-site.

Clarification on Classified/Secret Documents:

The Central Vigilance Commission had issued a directive on the use of web site for publicizing open tenders pertaining to the procurement and/or auction/sale of goods and services. The directions included making the **complete bid documents (along with drawings etc.) available on the web** for the prospective bidders to download and use for tender participation. Certain apprehensions have been received in the Commission regarding providing open web publicity to classified/secret documents.

This issue has been examined both from technical and legal angles. Technically a **high level of data security** can be provided in the websites. The provisions of **digital signatures through Certifying Authority** can be used to ensure that in case of any forgery or alteration in downloaded documents it is technically feasible to prove what the original document was.

Clarifications on Issues Raised Regarding Web-based Tendering

Issue 1: Whether putting tender documents on the web is safe and adequate protection can be provided to the integrity of the document?

Clarification: Technically a high level of data security can be provided in the websites. The provisions of **digital signatures through Certifying Authority** can be used to ensure that in case of any forgery or alteration in downloaded documents it is technically feasible to prove what the original document was. The documents should be **digitally signed** by the person submitting them. The web server to which the documents are submitted for hosting, should verify the digital signature. The documents submitted for hosting may be in **PDF or MS-WORD format**.

Issue 2: Do the instructions apply to organizations that procure goods, services and works which are of classified/secret nature?

Clarification: Commission's instructions are **with regard to goods, services and works procured through open tender system**. These instructions do not apply to proprietary items and items which necessarily need to be procured through OEMs (Original Equipment Manufacturers) and OESs (Original Equipment Suppliers).

Issue 3 (Short-term Tenders): Do the instructions regarding 'short term tenders' given in the CVC Order No. 98/ORD/1 dated 11th Feb 2004 apply to limited tenders also?

Clarification: In many organizations goods, services and works which as per laid down norms are to be procured/executed through open tender system, many times due to urgency are done through **short term tenders** without resorting to wide publicity in newspapers because of time constraint. In **all such cases short term tenders** (by whatever name it is called) etc. **should also be put on the website** of the dept. as it costs nothing extra and does not delay the tendering process either.

Office Order No. 68/10/05

Subject: Negotiation with L-1 Dated 25th October 2005

- Negotiations should not be allowed to be misused as a tool for bargaining with L-1 with dubious intentions.
- It is reiterated that in case **L-1 backs-out, there should be a re-tender.**
- If **L-1 alone is not capable of supplying** and there was no prior decision to split the quantities, then the quantity being finally ordered should be distributed among the other bidders in a manner that is **fair, transparent and equitable.**
- The justification and details of such negotiations should be duly **recorded and documented** without any loss of time.
- In cases of **jeopardizing the essential operations, maintenance and safety,** negotiations would be permitted with L-1 bidder(s) for the supply of a bare minimum quantity. The balance quantity should, however, be procured expeditiously through a **re-tender**, following the normal tendering process.

Circular No. 4/3/07

Subject: Tendering Process — Negotiations with L-1 Dated 3rd March 2007

The Commission reiterates that:

- Post-tender negotiations are **banned except with L-1**.
 - Negotiations should not be allowed to be misused as a tool for bargaining with dubious intentions.
 - In case L-1 backs out, there should be a **re-tender**.
 - If L-1 alone is not capable of supplying the full quantity and there was no prior decision to split quantities, then the quantity being finally ordered should be distributed among the other bidders in a manner that is **fair, transparent and equitable**.
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Circular No. 01/01/08

Subject: Acceptance of Bank Guarantees *Dated 31st December 2007*

The Commission has observed that in many organizations, Bank Guarantees (BGs) submitted by contractors/suppliers as part of their contractual obligations are not being verified/confirmed from the issuing bank. This has led to fraudulent Bank Guarantees being submitted and encashment problems arising subsequently.

- The **authenticity of BGs must be invariably verified** from the issuing bank, independently and confidentially.
 - Organizations should put in place a system for **regular verification** of all BGs held by them.
 - No BG should be accepted unless the organization is satisfied about its authenticity from the issuing bank.
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Circular No. 15/5/06

Subject: Transparency in Works/Purchase/Consultancy Contracts Awarded on Nomination Basis *Dated 9th May 2006*

The Commission has been receiving references/complaints about award of contracts for works, purchase and consultancy on **nomination basis** without following prescribed tendering procedures. The Commission has observed that:

- The award of contracts on **nomination basis should be an exception** and not a rule.
- Wherever contracts are awarded on nomination basis, it should be ensured that it is done only under compelling circumstances with **detailed justification recorded in writing** and with the approval of the Competent Authority.
- All such nominations should be posted on the organization's **website** and published in its bulletin/newsletter.

Office Order No. 13/3/05 & Circular No. 17/7/09

Subject: Posting of Details on Award of Tenders/Contracts on Websites/Bulletins
Dated 16.03.2005 and 14.07.2009

All organizations under CVC's jurisdiction are directed that:

- Details of **all contracts/tenders awarded** must be placed on the organization's website.
- This should include: **name of the contractor, value of the contract, date of award,** and the nature of work/supply.
- A **quarterly bulletin/newsletter** shall also publish such details.

🔔 **STATUTORY UPDATE (2022):** CVC issued Circular dated 11.07.2022 directing updation of Manuals on Procurement of Goods, Services, Works and Consultancy. The updated **Manual for Procurement of Works (June 2022), Manual for Procurement of Consultancy & Other Services (June 2022), and Manual for Procurement of Goods**

(June 2022) were released by the **Department of Expenditure, Ministry of Finance**. These Manuals are also accessible via the CVC website. (Ref: CVC Circular dated 11.07.2022)

Circular No. 31/11/08

Subject: Time Bound Processing of Procurement Dated 6th November 2008

The Commission has noted with concern that procurement decisions are being **inordinately delayed** in many organisations, leading to cost overruns, operational disruption and corruption.

Organizations are directed to:

- Prescribe a **definite time schedule** for each stage of procurement.
- Ensure that deviations from the prescribed time schedule are **reported to the senior management** promptly with reasons.
- The Commission shall treat **unjustified delays in procurement** as a lapse on the part of the officials responsible.

PART – C : KEY PRINCIPLES OF PUBLIC PROCUREMENT (CVC Framework)

(As compiled in the CVC Handbook on Public Procurement and referenced in CTE Examination Guidelines)

5 R's of Public Procurement

Parameter	Description
Right Quality	Goods/services must meet specified technical requirements
Right Quantity	Procurement must be need-based; over-procurement to be avoided
Right Price	Rate must be reasonable and justified by market benchmarks

Right Time and Place	Delivery within stipulated schedule at the designated location
Right Source	Selection from fair, transparent and competitive bidding process

Public Procurement Cycle

Stage	Key Activities
i. Need Assessment	Need assessment, formulation of Specifications and Procurement Planning
ii. Bid Invitation	Preparing bid documents, publication, receipt and opening of bids
iii. Bid Evaluation	Evaluation of bids and award of contract
iv. Contract Execution	Contract management and closure
v. Disposal of Scrap	Disposal through various prescribed modes

PART – D : STATUTORY REFERENCE TABLE – CVC CIRCULARS ON E-PROCUREMENT & PUBLIC PROCUREMENT

Office Order / Circular No.	Date	Subject
Office Order No. 46/9/03	11.09.2003	E-Procurement / Reverse Auction
Office Order No. 20/4/04	08.04.2004	Improving Vigilance Administration – e-payments & e-receipts
OM No. 4CC-1-CTE-2	08.06.2004	Mobilization Advance (Addendum)
Office Order No. 68/10/04	20.10.2004	Leveraging Technology – e-payment & e-receipt
Office Order No. 11/03/05	10.03.2005	Delays in Payments to Contractors & Suppliers

Office Order No. 13/3/05	16.03.2005	Posting of details on award of Tenders/Contracts on Website
Office Order No. 68/10/05	25.10.2005	Negotiation with L-1
Office Order No. 71/12/05	09.12.2005	Undertaking by members of Tender Committee
Circular No. 21/05/06	01.05.2006	Examination of Public Procurement Contracts by CVO
Circular No. 15/5/06	09.05.2006	Transparency in contracts awarded on Nomination Basis
Circular No. 31/9/06	01.09.2006	Posting of details on award of tenders/contracts
Circular No. 4/3/07	03.03.2007	Tendering Process — Negotiations with L-1
Circular No. 10/4/07	10.04.2007	Mobilisation Advance (Supersession)
Office Order No. 43/12/07	28.12.2007	Adoption of Integrity Pact
Circular No. 01/01/08	31.12.2007	Acceptance of Bank Guarantees
Circular No. 31/11/08	06.11.2008	Time Bound Processing of Procurement
Circular No. 29/9/09	17.09.2009	Implementation of e-tendering solutions & Security Guidelines
Circular No. 01/01/10	20.01.2010	Tendering Process — Negotiations with L-1
CVC Circular	03.06.2021	Revised SOP — Adoption of Integrity Pact
CVC Circular	06.05.2021	Revised SOP — Intensive Examination by CTE's Organisation
CVC Circular	11.07.2022	Updation of Manuals on Procurement of Goods, Services, Works & Consultancy

Subject: Pre-Qualification Criteria (PQ) *Central Vigilance Commission (CTE's Organisation) | Dated the 17th December 2002*

To All CVOs of Ministries/Departments/PSUs/Banks/Insurance Companies/Autonomous Organisations/Societies/UTs

The Commission has received complaints regarding **discriminatory prequalification criteria** incorporated in the tender documents by various Deptts./Organisations. It has also been observed during intensive examination of various works/contracts by CTEO that the prequalification criteria is either **not clearly specified or made very stringent/very lax** to restrict/facilitate the entry of bidders.

2. The prequalification criteria is a yardstick to allow or disallow the firms to participate in the bids. A **vaguely defined PQ criteria** results in stalling the process of finalizing the contract or award of the contract in a non-transparent manner. It has been noticed that organizations, at times pick up the PQ criteria from some similar work executed in the past, without appropriately amending the different parameters according to the requirements of the present work. Very often it is seen that **only contractors known to the officials of the organization and to the Architects are placed on the select list**. This system gives considerable scope for malpractices, favouritism and corruption. It is, therefore, necessary to fix in advance the minimum qualification, experience and number of similar works of a minimum magnitude satisfactorily executed in terms of quality and period of execution.

3. Some of the common irregularities/lapses observed in this regard are highlighted as under:

i) For a work with an estimated cost of **Rs. 15 crores** to be completed in **two years**, the criteria for average turnover in the last **5 years** was kept as **Rs. 15 crores** although the amount of work to be executed in one year was only **Rs. 7.5 crores**. The above resulted in prequalification of a single firm.

ii) One organization for purchase of Computer hardware kept the criteria for financial annual turnover of **Rs. 100 crores** although the value of purchase was less than **Rs. 10 crores**, resulting in disqualification of reputed computer firms.

iii) In one case of purchase of Computer hardware, the prequalification criteria stipulated was that the firms should have made **profit in the last two years** and should possess **ISO Certification**. It resulted in disqualification of reputed vendors including a PSU.

iv) In a work for supply and installation of A.C. Plant, retendering was resorted to with **diluted prequalification criteria without adequate justification**, to favour selection of a particular firm.

v) An organization invited tenders for hiring of D.G. Sets with eligibility of having **3 years experience** in supplying D.G. Sets. The cut off dates regarding work experience were not clearly indicated. The above resulted in qualification of firms which had conducted such business for 3 years, **some 20 years back**. On account of this vague condition, some firms that were currently not even in the business were also qualified.

vi) In many cases, **"Similar works" is not clearly defined** in the tender documents. In one such case, the supply and installation of A.C. ducting and the work of installation of false ceiling were combined together. Such works are normally not executed together as A.C. ducting work is normally executed as a part of A.C. work while false ceiling work is a part of civil construction or interior design works. Therefore, no firm can possibly qualify for such work with experience of similar work.

4. The above list is illustrative and not exhaustive. While framing the prequalification criteria, the end purpose of doing so should be kept in view. The purpose of any selection procedure is to attract the participation of **reputed and capable firms with proper track records**. The PQ conditions should be **exhaustive, yet specific**. The factors that may be kept in view while framing the PQ Criteria includes the scope and nature of work, experience of firms in the same field and financial soundness of firms.

5. The following points must be kept in view while fixing the eligibility criteria:

(A) For Civil/Electrical Works

PQ Parameter	Prescribed Norm
Average Annual Financial Turnover	During the last 3 years , ending 31st March of the previous financial year, should be at least 30% of the estimated cost
Experience of Similar Works	During last 7 years ending last day of month previous to the one in which applications are invited — should be any ONE of the following options:
Option (a)	Three similar completed works costing not less than 40% of the estimated cost each
Option (b)	Two similar completed works costing not less than 50% of the estimated cost each
Option (c)	One similar completed work costing not less than 80% of the estimated cost

Definition of Similar Work	Should be clearly defined in the tender documents
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In addition to above, the criteria regarding satisfactory performance of works, personnel, establishment, plant, equipment etc. may be incorporated according to the requirement of the Project.

(B) For Store/Purchase Contract

Prequalification/Post Qualification shall be based entirely upon the **capability and resources** of prospective bidders to perform the particular contract satisfactorily, taking into account their:

- (i) experience and past performance on similar contracts for **last 2 years**
- (ii) capabilities with respect to personnel, equipment and manufacturing facilities
- (iii) financial standing through latest **I.T.C.C.**, Annual report (balance sheet and Profit & Loss Account) of **last 3 years**

The quantity, delivery and value requirement shall be kept in view, while fixing the PQ criteria. **No bidder should be denied prequalification/post qualification for reasons unrelated to its capability and resources** to successfully perform the contract.

It is suggested that these instructions may be circulated amongst the concerned officials of your organization for guidance in fixing prequalification criteria.

 **STATUTORY UPDATE — Clarification (2004):** CVC issued a follow-up OM of **even number No. 12-02-1-CTE-6 dated 7th May 2004**, clarifying that: *"the guidelines issued are illustrative and the organizations may suitably modify these guidelines for specialized jobs/works, if considered necessary. However, it should be ensured that the PQ criteria are exhaustive, yet specific and there is fair competition. It should also be ensured that the PQ criteria are clearly stipulated in unambiguous terms in the bid documents."* (Ref: CVC OM No. 12-02-1-CTE-6 dated 7th May 2004)

PART — F : NOTICE INVITING TENDER (NIT) / PREPARATION OF TENDER DOCUMENTS

Office Order No. 33/7/03

Subject: Short-comings in Bid Documents No. 98/ORD/1 | Dated 9th July 2003

The Commission has observed the following common short-comings in bid documents:

- **Vague or ambiguous specifications** that leave room for post-award disputes.
- Absence of a clear **bid evaluation methodology** in tender documents.
- **Non-disclosure of complete information** about terms and conditions.
- Failure to provide **complete drawings/designs** along with tender documents.

Whenever required, the departments/organisations should follow **two-bid system**, i.e., **technical bid** and **price bid**. The price bids should be opened **only of those vendors who were technically qualified** by the Deptt./Organisation. This is issued for strict compliance by all concerned.

Office Order No. 15/3/05**Subject: Notice Inviting Tenders (NIT) Ref: OFF-1-CTE-1(pt) V | Dated the 24th March 2005**

The following instructions are issued regarding Notice Inviting Tenders:

- The **NIT should be self-contained** and clearly specify all requirements.
- Qualifying criteria, **evaluation methodology**, criteria for award of contract and all terms and conditions must be disclosed in the NIT itself.
- There should be **no ambiguity** in any of the terms, so as to avoid post-tender complications.
- The **bid validity period** should be clearly specified.
- In case of **two-bid system** (technical and price bid), the NIT must expressly mention this and the modalities for opening of bids.
- The **earnest money deposit (EMD) amount** and the mode of its submission should be specified.

Office Order No. 72/12/04

Subject: Transparency in Tendering System — Guidelines No. 004/GRD/9 | Dated 10th December 2004

The Commission reiterates the following guidelines to ensure transparency in the tendering system:

- **All tender documents shall be made available on the organization's website** as per earlier directions.
- The NIT and complete bid documents, including technical specifications, drawings, eligibility criteria and evaluation methodology, must be put on the website.
- There should be **no restriction on downloading** of tender documents from the website.
- Organizations must ensure **equal treatment of all bidders** — no bidder should be given information not available to others.
- All **corrigenda/addenda** to the tender documents must also be published on the website promptly and bidders should be given adequate time to respond.

Office Order No. 75/12/04

Subject: Participation of Consultants in Tender No. 98/DSP/3 | Dated 24th December 2004

The Commission had received representations regarding conflict of interest arising from participation of consultants in tenders for works for which they had prepared tender documents.

The Commission's instructions are:

- **A consultant who has been engaged for preparation of bid documents** for a project shall not be permitted to participate in the tender for that project. This would apply to the consultant firm and its associates/subsidiaries.
- In addition, if a consultant is engaged for **supervision or monitoring** of a project, the main contractor for that project should not have any business/financial relationship with such consultant.
- **The above restriction should be explicitly stated in all consultant appointment agreements** so as to avoid disputes at a later stage.

- Appointments of consultants continue to be done in an arbitrary manner. At times two or even three consultants are appointed for a work with no clear cut and sometimes overlapping responsibilities.
- **The tendency of over-dependence on the consultants continues.** All activities are left completely to the consultants. This is a serious lapse and must be curbed.

PART – G : RECEIPT AND OPENING OF TENDERS

Office Memorandum No. 05-04-1-CTE-8

Subject: Receipt and Opening of Tenders *Central Vigilance Commission (CTE's Organisation) | Dated the 8th June 2004*

The following instructions are issued regarding receipt and opening of tenders:

1. All tenders must be received in **sealed covers** and **duly numbered** as received at a designated place. A **tender box** or a secure mechanism for receipt of sealed tenders must be maintained.
2. Tenders shall be opened **on the date and time** specified in the NIT/bid documents, in the presence of tenderers or their authorized representatives who wish to be present.
3. The names of tenderers and the **prices quoted** (where single envelope system is followed) should be read out at the time of opening of tenders.
4. In case of **two-bid (two envelope) system**:
 - The **technical bids shall be opened first.**
 - The **price bids shall be opened only of those bidders who have been found technically qualified.**
 - The financial/price bids of technically disqualified bidders shall be returned **unopened.**
5. All members of the **Tender Opening Committee** should sign the tender documents on the first page. Corrections, overwriting, and scoring in the original quoted prices, if any, must be **initialled and dated** by the Tender Opening Committee.
6. A **comparative statement** of the tenders received must be prepared immediately after opening.

7. No tender should be received or accepted **after the due date and time** for submission of tenders.
8. In the case of e-procurement, the **electronic records** of tender opening shall serve as the official record. The system shall ensure that the bids are not accessed before the scheduled date and time of opening.

PART – H : BACK-TO-BACK TIE-UP BY PSUs / AWARD ON NOMINATION BASIS

No. 06-03-02-CTE-34

Subject: Back to Back Tie-up by PSUs — Instructions Regarding Central Vigilance Commission (CTE's Organisation) | Dated 20th October 2003

The Commission has observed that many PSUs (Public Sector Undertakings) are entering into **back-to-back arrangements** with private firms/contractors for execution of works/supplies, without following prescribed tendering procedures themselves.

The following instructions are issued:

1. A PSU which is given a contract or an assignment by another Government organization shall **not sub-contract the entire work** to a private party on a back-to-back basis, without the knowledge and approval of the principal organization.
2. In cases where a PSU, due to its limitations, needs to engage a sub-contractor for execution of a part of the work, it must:
 - Obtain **prior approval of the principal organization** before engaging the sub-contractor.
 - Follow **transparent tendering procedures** for selection of the sub-contractor.
 - Ensure that the **sub-contractor's credentials and capacity** are adequate for the work.
3. The practice of PSUs acting merely as a **conduit** by entering into back-to-back tie-ups with private firms, solely to take advantage of the purchase preference policy available to PSUs, is **not acceptable** and is viewed seriously by the Commission.

4. All CVOs must ensure that their organizations do not enter into such back-to-back arrangements without following the prescribed procedure and taking the concurrence of the principal organization.

PART – I: CONSIDERATION OF INDIAN AGENTS

No. 12-02-6-CTE/SPI(I)-2

Subject: Consideration of Indian Agents *Central Vigilance Commission (CTE's Organisation) | Dated the 7th January 2003*

(Clarified and reiterated vide Office Order No. 25/04/04 dated 21st April 2004)

The following instructions are issued regarding consideration of Indian Agents in international procurement:

1. In international competitive bidding, an **Indian agent** representing a foreign firm may participate in the tender on behalf of the foreign principal. However, the following conditions shall apply:

- **Only one agent** shall be permitted for one foreign firm in a particular tender.
- The Indian agent should be **registered with the DGS&D** or any other appropriate authority, if such registration is prescribed.
- The foreign firm should provide a **specific authorization letter** to the Indian agent for the particular tender.

2. Where the foreign firm's bid is submitted directly, the **Indian agent should not be allowed to submit a separate bid** for the same item/work for the same tender.

3. If a foreign firm participates in a tender **directly**, and also through an Indian agent, **both bids shall be rejected**.

4. The Indian agent should disclose the **amount of agency commission** in the bid itself. This must be made part of the NIT conditions.

5. The amount of agency commission paid to the Indian agent shall be **factored into the evaluation** of the price bid.

6. **Payment to the Indian agent** shall be made only in **Indian Rupees**.

🔔 **STATUTORY UPDATE – Reiteration (2004):** The above instructions were further reiterated and clarified vide CVC Office Order No. 25/04/04 dated 21st April 2004, directing that organizations strictly comply with these conditions in all international procurement cases. (Ref: Office Order No. 25/04/04 dated 21st April 2004)

PART – J : BANNING OF BUSINESS WITH FIRMS / CONTRACTORS

Office Order No. 18/3/05

Subject: Banning of Business Dealing with Firms No. 000/VGL/161 | Central Vigilance Commission | Dated 24th March 2005

The Commission has observed that organizations often do not have a clear policy on **banning or suspension of business dealings** with firms/contractors who indulge in corrupt practices, non-performance, or submission of forged documents.

The following instructions are issued:

1. Each organization under the jurisdiction of the Commission should have a **comprehensive policy/guidelines** on the subject of banning of business dealing with firms/contractors/suppliers.

2. Such policy/guidelines should clearly lay down:

- The **grounds/reasons** for which banning/suspension of business dealing shall be considered.
- The **authority competent** to order banning of business dealing.
- The **process of hearing** the affected firm before banning, to ensure principles of natural justice.
- The **duration** of banning and the process for review/revocation.
- The **criteria for listing** the firm on a negative list/debarment list.

3. The grounds for banning should include but not be limited to:

- Submission of **forged/false documents** in connection with a tender.
 - **Non-performance** of a contract leading to termination of contract.
 - Resort to **bribery/corrupt practices** in obtaining a contract.
 - **Security or reliability concerns** about the firm.
4. A **register of banned/debarred firms** should be maintained and should be made available/accessible to all concerned officials of the organization.
5. The details of banned firms may also be placed on the **organization's website** so that such firms do not participate in tenders of the organization or its subsidiaries.
6. Where a firm is banned by one organization, **other organizations** under the same administrative Ministry/Department may also consider banning such a firm, after following due process.

 **STATUTORY UPDATE (2022):** The Ministry of Finance, Department of Expenditure vide its updated **Manual for Procurement of Goods (June 2022)** and the **Manual for Procurement of Works (June 2022)** has incorporated detailed provisions for debarment/suspension of bidders in line with the above CVC instructions. These Manuals, circulated by the CVC vide Circular dated **11.07.2022**, are now the primary reference documents for banning/debarment procedures. (Ref: CVC Circular dated **11.07.2022**; MoF Manual for Procurement of Goods, June 2022)

Office Order No. 71/12/05

Subject: Undertaking by the Members of Tender Committee / Agencies No. 005/VGL/66
| Central Vigilance Commission | Dated **9th December 2005**

The Commission has decided that the members of the **Tender Evaluation Committee** as well as officials associated with the procurement process must give an undertaking to the effect that:

- They do not have any **personal interest** in the firms participating in the tender.
- They have not had any **financial or business dealings** with any of the tenderers that could influence the evaluation.
- They will **evaluate the bids objectively** and solely on the basis of the criteria laid down in the NIT/bid documents.

- Any **conflict of interest**, if noticed at any subsequent stage, will be **immediately disclosed** to the competent authority.

This undertaking shall be obtained before the **commencement of the evaluation process** and shall form part of the tender file.

PART – K : APPOINTMENT OF CONSULTANTS

CVC Office Memorandum – Appointment of Consultants

(As compiled in the CVC Handbook and Vigilance Manual 2021, Chapter IX)

The Commission has issued the following key instructions on appointment of consultants:

1. Appointments of consultants continue to be done in an arbitrary manner. At times **two or even three consultants are appointed** for a work with no clear cut and sometimes overlapping responsibilities.
2. **Selection of consultants** must be done through a **transparent and competitive process**, considering the suitability, competence, and proven track record of the consultants.
3. The Commission has issued specific instructions that:
 - **Specific and well-defined responsibilities** must be assigned to each consultant.
 - **Consultants should not be over-relied upon.** The organization's own engineers/officials must remain in control and not leave all decision-making to the consultants.
 - **Proposals put up by the Consultant(s)** must not be accepted without question or any verification.
 - Engagement of consultants for **supervision or project management** should not be done without a proper assessment of the organization's own capabilities.

4. The **tendency to appoint an inspection and expediting consultant** in addition to engineering and project management consultants, with no clear mandate, has been specifically flagged as a source of malpractice.

 **STATUTORY UPDATE (2017):** The CVC issued **Systemic Improvement Guidelines** on engagement of consultants vide **Circular dated 23.01.2017**, prescribing specific procedures and safeguards for consultant engagement to improve transparency and reduce arbitrary appointments. (Ref: CVC Circular dated 23.01.2017)

PART – L : CTE's ORGANISATION – INTENSIVE EXAMINATION OF PUBLIC PROCUREMENT CONTRACTS

(As incorporated in CVC Vigilance Manual, Updated 2021, Chapter IX)

Organisation and Role of CTE's Organisation

The **Chief Technical Examiners' (CTE's) Organisation** is a specialised wing of the Central Vigilance Commission which performs **technical examination of public procurement contracts** relating to construction works, purchases, and other services of Government organisations, PSUs, Banks, etc.

Intensive Examination – Selection Criteria

Selection of Procurement Cases for Intensive Examination:

- Cases are selected for intensive examination based on **nature of work/contract, value of contract, complaints received, and intelligence inputs**.
- The monetary limits for reporting in the **Quarterly Progress Report (QPR)** are prescribed from time to time.
- The CTE's Organisation selects procurement cases for examination with particular focus on **large value contracts, contracts with unusual variations, and contracts involving suspected irregularities**.

Process of Intensive Examination

The Intensive Examination covers the following key stages of procurement:

Stage	Key Aspects Examined
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Scope of Work / Time Perspective	Whether the scope of work was clearly defined; whether the time frame was realistic
Administrative Approval & Expenditure Sanction (A/A & E/S)	Whether proper sanctions were obtained before initiating procurement
Detailed Project Report (DPR) / Detailed Estimate	Whether the estimate was realistic and based on appropriate rates
Design and Drawings	Whether complete and approved design documents were available before inviting tenders
Tender Documents	Whether tender documents were complete, clear and unambiguous
Pre-qualification / Bid Eligibility Conditions	Whether PQ criteria were appropriate and not discriminatory
Notice Inviting Tender	Whether adequate publicity was given; whether minimum bid period was observed
Tender Evaluation and Award of Contract	Whether evaluation was done strictly as per criteria in NIT
Contract Agreement	Whether all terms of the contract were clearly specified
Payment to the Contractors	Whether payments were made as per contractual terms; whether advances were proper
Release of Guarantee / Security Deposits	Whether release was as per contract terms and after due verification
Completion Report	Whether completion report was prepared and placed on record

Common Irregularities in Public Procurement

(As identified by CTE's Organisation in Intensive Examinations)

- **Splitting of work/purchase** to avoid approval of higher authority or tendering requirement.
- **Award of contract to higher bidder** overlooking the lowest valid bid.
- **Post-tender negotiations** with bidders other than L-1.
- **Manipulation of evaluation criteria** after opening of bids.
- **Preparation of post-facto estimates** to justify already incurred expenditure.

- **Repeated extension of time** without levy of applicable liquidated damages.
- **Release of advance payments** without adequate Bank Guarantee.
- **Over-measurement** and excess payment to contractors.
- **Acceptance of substandard quality** of goods/works.
- **Award of work on nomination basis** without adequate justification.

CTE Type Intensive Examination by CVO

As per the CVC guidelines, CVOs are also required to conduct **CTE-type examinations** of procurement contracts in their own organizations. The following is prescribed:

Documents / Records for Examination:

- Administrative Approval and Expenditure Sanction
- Detailed Estimates/DPR
- Tender documents (NIT, bid documents, corrigenda if any)
- Pre-qualification documents and evaluation sheets
- Comparative statement of offers and evaluation reports
- Award letter/Work Order/Purchase Order
- Contract agreement
- Measurement books/inspection certificates
- Payment records (bills, vouchers)
- Bank Guarantees (Mobilization Advance, Performance Security)
- Completion Certificate

 **STATUTORY UPDATE (2021):** The CVC issued a **Revised Standard Operating Procedure (SOP)** to deal with Intensive Examination carried out by CTE's Organisation vide **CVC Circular dated 06.05.2021**. The updated SOP revised the time limits and procedures for follow-up action on IE reports. (*Ref: CVC Circular dated 06.05.2021*)

PART – M : MODES OF TENDERING – CVC FRAMEWORK

(As prescribed in CVC Vigilance Manual, Updated 2021, Chapter IX)

Open Tender

The open tender system is the **most preferred and transparent mode** of procurement. It involves:

- **Wide publicity** through newspapers (national and regional), organizational website, and Central Public Procurement Portal (**CPPP at eprocure.gov.in**).
- **No restriction** on eligible bidders from participating.
- The CVC has mandated through its Order No. 98/ORD/1 dated 18.12.2003 that for all cases of open tender, the tender documents must be placed on the organization's **website**.

Limited Tender

- Resorted to when **the number of sources is limited** or **the value of procurement is small**.
- At least a **minimum number of vendors** (generally not less than **three**) should be approached.
- The reasons for resorting to limited tender instead of open tender should be **recorded**.
- Even in limited tender, the practice of **publishing the NIT on the website** is encouraged.

Single Tender / Nomination

- Should be resorted to **only in exceptional circumstances**, such as:
 - Proprietary items available from a **single source only**.
 - **Emergency situations** not admitting of delay.
 - Items of **classified/secret nature** where open tendering is not feasible.
- **Detailed justification** for resorting to single tender/nomination must be placed on record.
- **Approval of a competent authority** must be obtained before proceeding on single tender/nomination basis.

- All contracts awarded on **nomination basis** must be posted on the organization's website.

Spot Purchase / Tender

- Used for **small value purchases** where the delay involved in tendering is not warranted.
- Approval of the **competent financial authority** must be obtained.
- **Market survey** to justify reasonableness of price must be conducted and recorded.

PART — N : E-PROCUREMENT — DETAILED FRAMEWORK (CVC VIGILANCE MANUAL 2021)

(Chapter IX, CVC Vigilance Manual — Updated 2021)

e-Procurement

e-Procurement is the use of **information and communication technology** (especially the internet) in conducting procurement processes covering need identification to payment, and contract management, in order to make procurement transparent, efficient and effective.

The key features and mandates are:

- **Mandatory use of Central Public Procurement Portal (CPPP):** The Ministry of Finance, Department of Expenditure, has mandated publication of all tender enquiries above a prescribed threshold on the **CPPP** at <https://eprocure.gov.in/cppp/>.
- The **e-Procurement portal shall be in compliance with the IT Act, 2000** and its subsequent amendments and shall comply with the relevant circulars of the CVC and other statutory bodies.
- **Digital Signature Certificates (DSCs):** All participants — bidders and departmental officials — must use DSCs issued by licensed Certifying Authorities for submission and opening of bids in the e-procurement system.
- **End-to-end e-procurement:** The Ministry of Finance OM No. 10/3/2012-PPC dated 9th January 2014 prescribed implementation of comprehensive **end-to-end e-procurement** by all Central Government Ministries/Departments and Central Public Sector Enterprises.

- The **scope of e-procurement** covers:
 - All Open and Limited Open tenders of **estimated value Rs. 2.00 lakhs and above** (threshold may be varied by competent authority).
 - End-to-end coverage: NIT publication → Bid submission → Bid opening → Evaluation → Award.

e-Sale

e-Sale refers to the use of electronic means for **auction/sale of goods** by government organizations (e.g., disposal of scrap, surplus stores, etc.). The same principles of **transparency, fairness, and wide publicity** apply to e-sale as to e-procurement.

Reverse Auction

- **Reverse Auction** is an auction in which the roles of buyer and seller are reversed and the price **decreases** during the bidding process (unlike a forward auction where the price rises).
- It can be used **after technical qualification** of bidders, as a tool to determine the financial bid.
- The CVC, through its **Office Order No. 46/9/03 dated 11.09.2003**, had clarified that departments may decide on reverse auction for purchases or sales and work out the detailed procedure, but **the entire process must be conducted in a transparent and fair manner**.
- Organizations must ensure that the **criteria for participation in reverse auction** are made known to bidders in advance.

Swiss Challenge Method

- The **Swiss Challenge Method** is a process used for procurement in which a company (the "**challenger**") submits a proposal for a project to the Government, following which the Government calls for competing proposals.
- It may be used for **unsolicited proposals** received from the private sector.

- The **original proponent is given a right of first refusal** (right to match the best competing bid).
- The CVC has cautioned that use of the Swiss Challenge method should be **restricted to cases specifically authorized by law or Government policy** and should not be used as a substitute for regular competitive tendering.

PART – O : STATUTORY UPDATES – 2024–2025

🔔 **STATUTORY UPDATE (April 2025):** The CVC issued **Circular dated 28.04.2025** (Corrigendum) on **Adoption and Implementation of Integrity Pact – Revised Standard Operating Procedure**. This is the latest update on the Integrity Pact SOP, amending the earlier SOP circular dated 03.06.2021. All organisations under CVC's jurisdiction are required to adopt the revised SOP immediately. (Ref: CVC Circular dated 28.04.2025)

🔔 **STATUTORY UPDATE (April 2025):** The CVC issued **Circular dated 01.04.2025** prescribing a **Framework for timely detection, reporting, etc. relating to large value Frauds – reg.** This is relevant to procurement-related frauds and is binding on all organisations under CVC jurisdiction. (Ref: CVC Circular dated 01.04.2025)

🔔 **STATUTORY UPDATE (2024):** The CVC issued **Circular dated 01.08.2024** regarding **Observance of Vigilance Awareness Week, 2024**, reiterating the importance of integrity in public procurement and transparency in tendering processes. (Ref: CVC Circular dated 01.08.2024)

🔔 **STATUTORY UPDATE (2024):** The DPE issued **Consolidated & Revised Guidelines regarding Vigilance Policy for CPSEs** vide O.M. dated 29.07.2024. These revised guidelines update the vigilance and procurement framework for all Central Public Sector Enterprises, including guidelines on transparent procurement, prevention of frauds, and compliance with CVC instructions. (Ref: DPE O.M. dated 29.07.2024)

PART – P : COMPREHENSIVE MASTER REFERENCE TABLE – ALL CVC CIRCULARS ON PUBLIC PROCUREMENT & E-PROCUREMENT

Sl. No.	Office Order / Circular No.	Date	Subject
1	Letter No. 8(1)(h)/98(1)	18.11.1998	Banning of post-tender negotiations except with L-1
2	MoF OM	17.12.1998	Purchase of Computer Systems — Open Tender without brand names
3	98/ORD/1	15.03.1999	Improving Vigilance Administration — Tenders (post-tender nego. clarification)
4	3(V)/99/9	01.10.1999	Applicability of CVC instructions to World Bank / IMF / ADB projects
5	98/ORD/1	24.08.2000	Improving Vigilance Administration — Tenders
6	98/ORD/1	03.08.2001	Improving Vigilance Administration — Tenders
7	98/ORD/1	05.04.2002	Use of website for tender document publication
8	12-02-1-CTE-6	17.12.2002	Pre-Qualification Criteria (PQ)
9	12-02-6-CTE/SPI(I)-2	07.01.2003	Consideration of Indian Agents
10	98/ORD/1 (Pt.IV)	12.03.2003	Use of website in Govt. Procurement or tender process
11	Office Order No. 33/7/03	09.07.2003	Short-comings in Bid Documents
12	Office Order No. 44/9/03	04.09.2003	Irregularities in the Award of Contracts
13	Office Order No. 46/9/03	11.09.2003	E-Procurement / Reverse Auction
14	06-03-02-CTE-34	20.10.2003	Back to Back Tie-up by PSUs
15	98/ORD/1	18.12.2003	Increasing Transparency — Procurement/Sale — Use of Website (Mandatory)
16	OM No. 8/2/04	05.02.2004	Common irregularities in award of Contracts
17	Office Order No. 9/2/04	09.02.2004	Common irregularities in award of Contracts
18	Office Order No. 10/2/04	11.02.2004	Website mandatory for short-term tenders also
19	12-02-1-CTE-6	07.05.2004	Pre-Qualification Criteria — Clarification

20	Office Order No. 20/4/04	08.04.2004	E-payments and E-receipts — Improving Vigilance Administration
21	Office Order No. 25/04/04	21.04.2004	Consideration of Indian Agents — Reiteration
22	OM No. 05-04-1-CTE-8	08.06.2004	Receipt and Opening of Tenders
23	OM No. 4CC-1-CTE-2	08.06.2004	Mobilization Advance (Addendum — superseded in 2007)
24	Office Order No. 43/7/04	02.07.2004	Increasing Transparency — Use of Website (reiteration + classified docs)
25	Office Order No. 68/10/04	20.10.2004	Leveraging Technology — e-payment & e-receipt (format for reporting)
26	Office Order No. 72/12/04	10.12.2004	Transparency in Tendering System — Guidelines
27	Office Order No. 75/12/04	24.12.2004	Participation of Consultants in Tender
28	Office Order No. 11/03/05	10.03.2005	Delays in Payments to Contractors & Suppliers
29	Office Order No. 13/3/05	16.03.2005	Posting of details of awarded Tenders/Contracts on Website
30	Office Order No. 15/3/05	24.03.2005	Notice Inviting Tenders
31	Office Order No. 18/3/05	24.03.2005	Banning of Business dealing with Firms
32	Office Order No. 46/7/05	28.07.2005	Posting of details on award of Tender/Contract on Website/Bulletin
33	Office Order No. 68/10/05	25.10.2005	Negotiation with L-1
34	Office Order No. 71/12/05	09.12.2005	Undertaking by Members of Tender Committee/Agencies
35	Circular No. 21/05/06	01.05.2006	Examination of Public Procurement Contracts by CVO
36	Circular No. 15/5/06	09.05.2006	Transparency in contracts awarded on Nomination Basis
37	Circular No. 31/9/06	01.09.2006	Posting of details on award of tenders/contracts on websites/bulletins

38	Circular No. 4/3/07	03.03.2007	Tendering Process — Negotiations with L-1 (reiteration)
39	Circular No. 10/4/07	10.04.2007	Mobilisation Advance (Supersession of all earlier guidelines)
40	Circular No. 14/4/07	26.04.2007	Use of Products with Standard Specification
41	Circular No. 23/7/07	05.07.2007	Transparency in Works/Purchase
42	Office Order No. 43/12/07	28.12.2007	Adoption of Integrity Pact in Major Government Procurement
43	Circular No. 01/01/08	31.12.2007	Acceptance of Bank Guarantees
44	Circular No. 17/4/08	01.05.2008	Rotation of Officials
45	Circular No. 31/11/08	06.11.2008	Time Bound Processing of Procurement
46	Circular No. 17/7/09	14.07.2009	Posting of details on award of tenders/contracts on websites
47	Circular No. 29/9/09	17.09.2009	Implementation of e-tendering solutions + Security Guidelines
48	Circular No. 01/01/10	20.01.2010	Tendering Process — Negotiations with L-1 (reiteration)
49	CVC Circular	23.01.2017	Systemic Improvement Guidelines — Engagement of Consultants
50	CVC Circular	06.05.2021	Revised SOP — Intensive Examination by CTE's Organisation
51	CVC Circular	03.06.2021	Revised SOP — Adoption of Integrity Pact
52	CVC Circular	11.07.2022	Updation of Manuals on Procurement of Goods, Services, Works & Consultancy
53	DPE O.M.	29.07.2024	Consolidated & Revised Vigilance Policy Guidelines for CPSEs
54	CVC Circular	01.04.2025	Framework for timely detection & reporting of large value Frauds
55	CVC Circular	28.04.2025	Integrity Pact — Revised SOP (Corrigendum — latest update)

PART – Q : QUICK REVISION CAPSULE – IMPORTANT NUMBERS & DATA POINTS

Parameter	Prescribed Value / Period	Reference
e-payment target (Phase 1)	50% of transactions by 1st July 2004	Office Order 20/4/04
e-payment target (Phase 2)	Remaining 50% by 31st Dec 2004	Office Order 20/4/04
Bill payment review cut-off	Bills above Rs. 1 lakh	Office Order 11/03/05
Performance guarantee retention	5% of bill amount	Office Order 11/03/05
Experience period for works (PQ)	Last 7 years	OM 12-02-1-CTE-6
Experience period for stores/purchase (PQ)	Last 2 years	OM 12-02-1-CTE-6
Financial statements for store PQ	Last 3 years (balance sheet & P&L)	OM 12-02-1-CTE-6
E-tendering threshold (CIL standard)	Rs. 2.00 lakhs and above	CVC guidelines/CIL guidelines
Encryption minimum standard	128-bit keys (1024-bit for RSA)	Circular 29/9/09
Third party audit of e-procurement	At least once a year	Circular 29/9/09
DSC issuing authority	Licensed Certifying Authority	Circular 29/9/09
CVC Act year	2003 (No. 45 of 2003) , effective 11th September 2003	CVC Vigilance Manual 2021
CVC Vigilance Manual – latest edition	Eighth Edition (Updated 2021)	CVC Vigilance Manual 2021

 CRITICAL STATUTORY UPDATE – LANDMARK CIRCULAR OF 2022 **STATUTORY UPDATE – WITHDRAWAL OF CVC PROCUREMENT CIRCULARS (2022):**

The **Central Vigilance Commission**, vide its Circular dated **11th July 2022**, has **withdrawn all its earlier guidelines on public procurement** (comprising **72 circulars** issued over the years) and has handed over the role of issuing procurement guidelines exclusively to the **Department of Expenditure (DoE), Ministry of Finance, Government of India**.

The three **updated Manuals of DoE** — (i) *Manual for Procurement of Goods (June 2022)*, (ii) *Manual for Procurement of Works (June 2022)*, and (iii) *Manual for Procurement of Consultancy & Other Services (June 2022)* — have been adopted as the **primary and authoritative reference** for public procurement, wherein **all CVC guidelines have been merged**.

These Manuals were released by the **Cabinet Secretary on 1st July 2022** at the office of the Central Vigilance Commission, in the presence of the Central Vigilance Commissioner and Finance Secretary.

All organisations have been asked to **update/align their procurement guidelines/manuals** in line with the DoE Manuals and upload them on their websites.

 **Implication for Exam Aspirants:** The individual CVC circulars on procurement (Parts 1, 2 and 3 of these study notes) **remain critical for examination purposes** as they form the historical and contextual framework and are specifically asked in the Postal/IP competitive examinations. However, the **current operative framework** is now the DoE Manuals (June 2022) aligned with GFR 2017.

(Ref: CVC Circular dated **11.07.2022**; *Business Standard*, **06.07.2022**)

PART – R : ILLUSTRATIVE CHECK POINTS FOR VARIOUS STAGES OF PUBLIC PROCUREMENT

Source: *Central Vigilance Commission — Chief Technical Examiner's Organisation*

Publication Date: 24th December 2014 (as available on CVC website)

Preamble

This compendium lists illustrative check-points in public procurement for the purpose of ensuring **fairness, equity and transparency**. These check lists are illustrative. There could be certain specific cases, which may involve other areas requiring more focused attention. Such areas need to be determined on **case to case basis**. The compendium is intended to serve as a guide to both **executives dealing with procurement as well as vigilance officials**.

1.0 Works/Purchase Manual

1.1 Cardinal principle of public procurement is to procure the material/services/works of the **specified quality, at the most competitive prices and, in a fair, just and transparent manner**. To achieve this end, it is essential to have **uniform and well documented policy guidelines** in the organization, so that this vital activity is executed in a well-coordinated manner with least time and cost overruns. In some organizations, Procurement Manual is either **not in place or has not been updated for years together**, which renders the system of procurement ad-hoc and arbitrary. A codified Procurement Manual containing the detailed procurement procedures and guidelines needs to be prepared by the organizations so that there is **systematic and uniform approach in the decision-making**. Delegation of power and **commensurate accountability** at various levels of decision-making should be essential feature of the Procurement Manual.

1.2 Check-points:

- **i.** Whether procurement (work/purchase/services) manual is in place. If yes, whether updated regularly or not. When were these updated last time?

- **ii.** Whether the provisions in the work/purchase/services manual are consistent with **CVC guidelines, General Financial Rule (GFR) and Canons of public procurement?**
 - **iii.** Whether the provisions in work/purchase/services manual cover the **entire gamut of procurement activities** of the organization?
 - **iv.** Whether the procurement/contract/works manuals are **uploaded on intranet/internet?**
 - **v.** Whether officials concerned are **conversant with procurement manual** or not?
-

2.0 Scope of Work

2.1 It is important for any scheme that the **scope of work is properly defined**. A well defined scope of work giving an overview of the proposed procurement needs to be put up to the Competent Authority at the time of seeking approval/sanction. **The objective of the procurement needs to be clearly brought out in the scope.**

3.0 Administrative Approval & Expenditure Sanction (AA & ES)

3.1 Administrative Approval & Expenditure Sanction is an important component of procurement process. This provides an opportunity to the **Competent Authority to have a comprehensive overview of the project**. If the scheme is approved by the Competent Authority, suitable provision for expenditure to be incurred on the project is also to be made at this stage. There are situations, where projects/scheme is sanctioned by the authority, **who is not competent**. The importance of this aspect in public procurement can be gauged from the facts of a case, wherein the Competent Authority that was vested with the power to sanction an original scheme/project of **Rs. 10 crores** only had sanctioned the project of more than **Rs. 300 crores**.

3.2 Check-points:

- **i.** Whether 'Feasibility Study' has been done before formulating the project?
-

- **ii.** Whether, proposal for A/A & E/S has been prepared after considering aspect of mandatory clearances such as **Environmental, Land Use** etc.?
- **iii.** Whether A/A & E/S is based on a proper estimate?
- **iv.** Whether administrative approval and expenditure sanction has been accorded by the **Competent Authority**?
- **v.** Whether the authority, which accorded the administrative approval and expenditure sanction is **competent to do so as per the delegation of power**?
- **vi.** Whether necessary **budget provision** has been made for the instant project or not?
- **vii.** Whether scope of work in the instant contract **matches with corresponding provision** in the A/A & E/S?
- **viii.** Whether there is any **excess expenditure** over the corresponding sanctioned amount?
- **ix.** Whether in case of excess expenditure or change in scope, **approval of the Competent Authority** has been taken?

4.0 Consultancy

4.1 Earlier public organizations were undertaking planning and supervisory activities in-house. Now-a-days, in the era of large-scale infrastructure development, the in-house resources available with public organizations are gradually being found to be inadequate. Therefore, there has been **substantial outsourcing of services** such as Architectural services, Preparation of DPR, Project Management Consultancy, and Quality Assurance etc.

The Commission has issued instructions regarding appointment of Consultants vide circular **No. 3L PRC1 dt. 12.11.1982** and the same were reiterated vide circular **No. OFF1-CTE-1 dt. 25.11.2002**. Gist of the above circulars is:

- The consultant should be appointed in a **transparent and competitive manner** for need-based and specialized jobs.
- The agreement should contain adequate provisions for **penalizing the defaulting consultant**.
- Consultant's fee should be based on **some fixed value of the contract**.

4.2 Commission in supersession of its earlier circular [No. 98/DSP/3 dt. **24.12.2004**] has issued detailed instruction on the possible '**Conflict of Interest**' in appointment of Consultants and '**Professional Liability**' of the Consultants, vide circular No. 08/06/11 dated 24th June 2011.

4.3 Check-points:

- i. Whether guidelines for appointment of consultants are in place in the organization?
- ii. Whether the guidelines are **updated regularly** or not and when were these last updated?
- iii. Whether the guidelines cover aspects such as provision of '**Professional Liability**', **upper ceiling of consultancy fee, work performance linked payment, penal clauses** for frequent change of staff, penal clauses for deficiency in services, clauses to deal with professional misconduct, penal clauses to deal with delay in services etc.?
- iv. Whether the **qualifying requirement** fixed for selection of the consultant is commensurate with the importance and size of the project?
- v. Whether the qualifying requirement is **unambiguous** and also fixed **before** inviting the offers?
- vi. Whether **wide and adequate publicity** including web-publicity has been given for inviting the offers for the consultancy work?
- vii. In case of limited tender enquiry, whether the panel has been prepared in a **fair and transparent manner** and updated regularly?

- viii. Whether the **evaluation of the bids is done as per the notified qualifying criteria** and all bidders are treated at par?
 - ix. Whether all issues relating to **service tax, professional tax, travelling allowances** etc. are taken into account at the time of bid evaluation?
 - x. Whether during performance of the consultancy contract, the **contract conditions are being complied with?**
 - xi. Whether the **quality of project management** by the Project Management Consultant is up to the mark?
-

5.0 Detailed Project Report (DPR) / Detailed Estimate

5.1 Successful contract performance depends on the **quality of Detailed Project Report (DPR)**. If DPR is prepared on an ad-hoc basis not based on site conditions, there is likelihood of **delays and deviations resulting in time and cost overrun**. It is imperative for trouble-free execution of the contract that there is **consistency among schedule of items, drawings and specifications**. Any ambiguity and inconsistency adds to time and cost overrun besides leading to legal complications. **Poor DPR leaves opportunity for the contractor to exploit the situation** and gain profits out of ambiguity in the contract.

Designing of the products/structures of a project is one of the most important activities in project formulation. It is important that structures are designed using the **latest codal provisions and latest engineering practices**.

5.2 Check-points:

- i. Whether detailed **site investigation** has been carried out before finalizing the items/materials and their corresponding quantities?
 - ii. Whether **proper specification** suiting to the site conditions have been selected?
 - iii. Whether all the items required for successful completion of the project have been taken into account?
-

- iv. Whether there is **consistency among description of items** in 'schedule of items'/bill of quantities, drawings and specifications?
 - v. Whether rates supported with proper documents (**genuine market rate quotations or standard schedule of rate**) have been considered in preparation of the estimate?
 - vi. Whether detailed **analysis of rate** has been carried out before arriving at the rate of a particular item?
 - vii. Whether DPR has been reviewed as a whole to assess its conformity with **local bylaws, Archaeological Survey of India guidelines, environmental norms, and other mandatory regulations** by an independent agency or in-house?
 - viii. Whether the **structural design has been proof checked** by an independent agency or in-house?
-

6.0 Design and Drawings

6.1 Designing of products/structures/service modules is an important aspect of any procurement. It is important that various elements of the project are **scientifically designed using the latest practices** and should be economically efficient. Design should suit to the prevailing site conditions. Similarly, drawings should be prepared **indicating all necessary details leaving no room for ambiguity**.

6.2 Check-points:

- i. Whether proper design has been carried out considering the **relevant parameters prevailing at site**?
 - ii. Whether design has been **proof checked**?
 - iii. Whether any deficiency is observed in the design?
 - iv. Whether any **review of the design** has been done and if so, reasons for the same?
 - v. Whether '**good for construction**' drawings contain all necessary elements?
-

7.0 Tender Document

The tender after acceptance becomes '**the contract**' — a **legal document**. An ambiguous agreement leads to **poor contract performance and litigations**. It also gives an opportunity to a contractor to make profit out of ambiguous conditions. It has been observed that often the tender document is prepared in a **hurried manner without checking for consistency** among Schedule of Items, Drawings, Specifications and Contract Conditions etc. Sometimes they are **copied from old tender cases without giving a thought** to the applicability of the conditions to the present work.

7.2 Check-points:

- i. Whether complete tender document containing **General/Special Conditions of Contract, specifications, Bill of Quantities, all Addendums** etc. is approved by the Competent Authority?
- ii. Whether **standard approved tender document** has been used? If not, whether the tender document would be legally sustainable?
- iii. Whether all the prevailing **guidelines of Govt./CVC/organisation** have been made part of the tender document?
- iv. Whether relevant modality to deal with **any ambiguity in the bid** has been provided in the tender document?
- v. Whether all the documents/drawings stated to have been attached **have actually been attached**?
- vi. Whether proper **place of tender receipt** has been notified in the NIT?
- vii. Whether the provision of **additional bank guarantees or other securities** have been made in case of bid being **unbalanced or front-loaded**?
- viii. Bank Guarantees from **Nationalised Banks only** should be accepted. **Under no circumstances** should bank guarantees from **Co-operative Banks** be accepted.

8.0 Pre-qualification

8.1 The success of a project largely depends on the **capability of the contractor/vendor**. Pre-qualification is a process to select competent contractors having technical and financial capability commensurate with the requirements of the particular procurement. The pre-requisites of pre-qualification process are:

- **Transparency**
- **Fairness**
- **Maintenance of fair competition**

8.2 The Commission had issued guidelines vide circular No. 12-02-1-CTE-6 dated 12.12.2002 and 07.05.2004 advising the organizations to frame the pre-qualification criteria in such a way that it is **neither too stringent nor too lax** to achieve the purpose of fair competition.

8.3 During intensive examinations of works of organizations, the following deficiencies were observed:

- Stringent PQ Criteria resulting in **poor competition**.
- Unduly restrictive criteria, **creating entry barrier** for potential bidders.
- **Evaluation criteria not notified** to the bidders, making the PQ process non-transparent.
- PQ Criteria **relaxed during evaluation**, thus creating entry barrier to other potential bidders fulfilling the relaxed criteria.
- **Credentials of bidders not matched** with the notified criteria.
- **Credentials of bidders not verified**.

8.4 Check-points:

- i. Whether there are proper guidelines on pre-qualification of contractors/suppliers in the procurement manual of the organization?

- **ii.** Whether pre-qualification criteria for the instant procurement has been framed **objectively commensurate with importance and size** of the project/procurement?
- **iii.** Whether the pre-qualification criteria was **frozen before** inviting pre-qualification bids?
- **iv.** Whether the pre-qualification criteria has been **approved by the Competent Authority** as per the provision in the procurement manual?
- **v.** Whether there is any **deliberate attempt** to make the pre-qualification criteria suiting to particular bidder(s)?

9.0 Inviting & Opening of Tenders

9.1 The award of Public Contract through **open tender** is to ensure:

- **Transparency** in public procurement
- **Maximum economy and efficiency** in public procurement
- Promotion of **healthy competition** among tenderers
- Provision of **fair and equal treatment** to all tenderers
- Elimination of **irregularities, interference and corrupt practices**

This is also required by **Article 14 of the Constitution of India**.

9.2 Normally three modes of tendering are adopted:

Mode	When Used
Open Tenders	Default mode — widest publicity — most preferred
Limited Tenders	Small value works, urgent works, or when few bidders available in market
Single Tender / Nomination Basis	Only under exceptional circumstances — natural calamities, emergencies, no bids to repeated tenders, or proprietary items

In the case of **Limited Tenders**, the empanelment should be done in a **transparent way and updated periodically**.

Award of contracts on **nomination basis** is to be resorted to **only under exceptional circumstances** such as natural calamities and emergencies or where there were no bids to repeated tenders or where only one supplier has been licensed (proprietary item) in respect of goods sought to be procured.

9.3 In a judgment of the Hon'ble Supreme Court [*Meerut Nagar Nigam, Meerut Vs Al Faheem Meat Exports Pvt. Ltd.*] it has been emphasized that **all public tenders should be in an open and transparent manner with adequate publicity**. Consequent to this judgment, the Commission has issued **Office Order No. 23/7/07 dated 05.07.2007** laying down the circumstances where award through nomination is admissible.

9.4 The Commission vide its Circular **No. 06-03-02-CTE-34 dt. 20.10.2003** and Circular **No. 15/5/06** issued vide letter no. **005/CRD/19 dt. 9th May 2006** has emphasized upon open tendering as the most preferred mode of tendering and insisted on **transparency in the preparation of panel in case of limited tenders**.

9.5 Widest possible publicity is essential for greater transparency in open tenders. In addition to existing rules and practices, the Commission vide their circular **No. 98/ORD/1 dt. 18.12.2003** has instructed for uploading the **Notice Inviting Tender and also tender documents in a downloadable form on the website**. The web site publicity is to be given **even in the case of limited tenders**.

9.6 The Commission vide their Circular **No. 05-04-1-CTE-8 dt. 8.6.2004** has further instructed that in case of **bulky tender documents** the provision for submission of bids to designated officials by hand should be made in the tender document itself. To maintain transparency in the opening of tenders, the Commission in its circular dated **8.6.04** has instructed to **open the bids in the presence of bidders**.

9.7 Check-points:

- i. Whether proper publicity has been given to the tender as per the guidelines of the organization?
- ii. Whether the guidelines of the organization for publicity of the tender are adequate?
- iii. Whether NIT has been posted on the organization's website?

- **iv.** Whether **place of tender receipt** as notified in the NIT is conspicuous?
 - **v.** Whether the **committee to open the tenders** has been duly notified by the Competent Authority?
 - **vi.** Whether the tenders are **opened in presence of the bidders** or their authorized representatives?
 - **vii.** Whether **cutting/overwriting/insertions are accounted for** on each page of the price bid?
 - **viii.** Whether the members of the Tender Opening Committee have **signed on each page of the price bid**?
-

10.0 Tender Evaluation and Award of Work

10.1 This is the **most sensitive area susceptible to corruption**. Corruption is inversely proportional to transparency and fairness. To ensure that evaluation is done in the most transparent, fair and open manner, the following points should be taken care of:

- Evaluation of tenders needs to be done as per **pre-notified criteria**.
 - **Timely decision** within validity period.
 - Complying with Commission's circular regarding **negotiations**.
 - Ensuring that **conditions/specifications are not relaxed** in favour of contractor to whom the work is being awarded.
 - Ensuring that **L-1 is not ignored on flimsy grounds**.
 - **Compliance with the purchase preference policy** of the Govt.
 - Ensuring that **work order/supply order is placed within justified rates**.
-

10.2 CVC guidelines in this regard have been issued vide the following circulars:

Circular	Date	Subject
8(1)(H)/98(1)	18.11.1998	Banning of post-tender negotiations except with L-1
98/ORD/1	24.08.2000 / 15.03.1999	Improving Vigilance Administration — Tenders
13/3/05 (005/VGL/4)	16.03.2005	Posting of details on award of contracts on website
06-03-02-CTE-34	20.10.2003	Back-to-Back Tie-up by PSUs
004/DSP/11-6594	24.02.2005	Miscellaneous procurement instructions
005/CRD/012	03.03.2007	Tendering process — Negotiations with L-1

10.3 Check-points:

- i. Whether the **Tender Evaluation Committee** has been duly notified by the Competent Authority?
- ii. Whether members of the Tender Evaluation Committee are **competent enough** to deal with the subject matter?
- iii. Whether the bids are **evaluated as per the terms of the tender document**?
- iv. Whether the tender evaluation committee has commented upon the aspect of the bid being **unbalanced or front-loaded**?
- v. Whether the **ambiguity clause** has been properly applied to deal with any inconsistency in the bid during evaluation?
- vi. Whether there has been any **inordinate delay** in processing the tender for award of the work?

11.0 Contract Agreement

11.1 During course of technical examination of various contracts by CTE's Organisation, it was observed that officials, who are otherwise expert in their own technical domain, **do not go through the complete contract document**. In other words, the officials are more

concerned with the technical aspects of the contract and as such, other important contract provisions, which are also essential for smooth operation of contract, **get ignored**. The contractors/vendors tend to take advantage of the **ignorance of the officials** for their benefit.

Many a times, major financial irregularities occur during the performance of the contract because of the **officials not being thorough with the contract conditions/provisions**. Besides quality, **timely completion** of the work is also the essence of the contract. It was observed that many projects get **unduly delayed due to contractor's fault** such as non-deployment of adequate plant & machinery, technical staff, material, labour etc. Officials have been found wanting in their action against the contractors/suppliers. In some projects, it was observed that **'Extension of Time' was granted without claiming compensation i.e. 'Liquidated Damages'**, ignoring correspondence that could pin the delay to the account of contractor.

11.2 Check-points:

- i. Whether proper agreement between the organization and the contractor/supplier has been entered into **within the prescribed period**?
- ii. Whether the contract agreement containing all the relevant papers has been **properly sealed**?
- iii. Whether **irrelevant documents/papers** have been made part of the agreement?
- iv. Whether various contract provisions such as **labour laws, insurances, guarantees** etc. are being complied with by the contractor?
- v. Whether action has been taken against the contractor for **non-compliance of the contract conditions**?
- vi. Whether the payment is being made to the contractor **strictly as per the contract**?
- vii. Whether any **overpayment/inadmissible payment** has been made?
- viii. Whether **Bank Guarantees** submitted by the contractor/supplier have been duly verified for their genuineness from the issuing bank?

- ix. Whether action has been taken/proposed against the contractor/supplier for **delay**?
 - x. Whether the work is being carried out **as per the detailed procedure/protocol for quality** of the material/product provided in the contract and in case of any deviation, whether approval of Competent Authority has been obtained?
 - xi. In case of the contractor being a **Joint Venture** of two or more firms, whether representatives are being shared by each of the partner as per their disclosure at the time of bidding?
 - xii. Whether **sub-contracting of the work** is allowed in the contract and if so to what extent? Proposal for sub-contracting should be scrutinised scrupulously to assess the competence of the sub-contractor. Indiscriminate sub-contracting to **inexperienced/incompetent sub-contractors** may lead to serious quality compromises besides delay in execution of the work.
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12.0 Payment to the Contractors

12.1 Payment to the contractors/suppliers should be made **strictly as per the terms of contract**. Any payment outside the contract agreement should have **proper & specific approval of the Competent Authority** highlighting the need/necessity for the same as well as rule position.

Various types of advances such as **Mobilization Advance, Plant & Machinery Advance, Advance on Materials (Secured Advance)** etc. may have been provided in the contracts, which need to be paid and recovered as per the stipulation in the contract agreement.

The basic purpose of Mobilization Advance is to extend **financial assistance** within the terms of contract to the contractor to mobilize the man and material resources for timely and smooth take-off of the project. There could be possibility of **misuse of Mobilization Advance**, especially the interest free advance, either due to absence of necessary safeguards or due to non-implementation of these safeguards.

The Mobilization Advance so paid could be misused by the contractors either in **building their own capital** or for the purpose other than the one for which it was disbursed, rendering it counter-productive.

Commission vide its Circular No. NU/POL/19 dated 8th December 1997, banned the provision of **interest free Mobilization**. However, in view of representations from various organizations, Commission has reviewed the earlier instructions and **allowed the organizations to stipulate interest free advance with elaborate mechanism for safeguards** against its misuse vide circular No.10/4/07 issued vide letter No. 4CC-1-CTE-2 dated 10.04.2007.

Under current GFR 2017 (Rule 172) and DoE Manuals, mobilization advance is generally restricted to 10% of the estimated contract value and is strictly interest-bearing, except in highly specific legacy or externally aided projects.

The **BGs taken in lieu of Mobilization Advance** need to be properly examined with respect to the acceptable format and any condition deterrent to the Govt.'s interest should be got withdrawn before acceptance, besides **verifying the genuineness of the Bank Guarantees from the bankers**. Timely action for **revalidation/encashment of BGs** also needs to be taken so as to protect the Govt. interest.

Tax evasion in the procurement contracts is another area of concern; it is necessary that **tax liability of the contractors/suppliers is examined properly** with reference to extant instructions of the Government.

12.2 Check-points:

- i. Whether the payment is made **as per the terms of the contract**?
- ii. Whether there is any possibility of **duplicate payment** being made to the contractor/supplier?
- iii. Whether any **over payment** is being made to the contractor/supplier?
- iv. Whether the rates for **extra/substituted items** have been derived as per the provision in the contract agreement/Procurement Manual?

- v. Whether the payment for extra/substituted items have been made **after due approval of the Competent Authority**?
- vi. Whether advances are paid to the contractors/suppliers for the amount **specified in the contract agreement**?
- vii. Whether **recovery of advances is being made as per the terms** of the contract agreement?
- viii. Whether recovery of **mandatory taxes and duties** is being done as per the extant instructions of the Government and as per the terms of the contract agreement?
- ix. Whether **reimbursement of service tax, excise duty** etc. is being done after obtaining the actual proof of depositing the same with authorities concerned?
- x. Some contracts provide **escalation clause**, with detailed formula to compensate the contractors for increase in material cost during the contract period. Whether the formula for escalation is **applied correctly**?
- xi. Whether **hire charges of Plant and Machineries** are being recovered from the contractor as per the specified rate?

13.0 Site Records

13.1 Records connected with the execution of the work should be maintained in a proper manner. The **registers/files, wherein important data such as record of mandatory tests, record of hindrances, record of receipt and supply of materials, record of issue of drawings/design** etc. are kept should be **properly bound and page numbered**. These records should be maintained under the **signature of designated senior officials**. This will guard against the possibility of **manipulation/tempering of these records** at any stage.

13.2 Check-points:

- i. Whether the registers are **properly bound and having machine numbered pages**?

- **ii.** Whether the registers to keep record of important data like mandatory test, hindrances etc. are being issued under the **signature of designated senior officer**?
 - **iii.** Whether these records are being maintained properly with **signatures and attestation** of the designated officers?
 - **iv.** Whether any **tampering/manipulation** is noticed in these records?
-

14.0 Site Inspection

14.1 Site inspection is basically to **assess the quality of work being carried out**. One of the cardinal principles of public procurement is to procure works or goods or services of **specified quality**. Any compromise in the quality will not only defeat the very purpose of stipulating elaborate quality standards, but also **cause irreversible loss to public exchequer**.

To maintain the quality of work, **testing of the material at various stages** of the work is required. The contract documents stipulate **mandatory tests** to be carried out for ensuring that the materials represented by the sample conform to desired quality standards. It has been observed that at times, aspect of **testing at specified frequency & interval is ignored**. This not only defeats the objective of mandatory testing of input materials/products, but also gives opportunity to the contractors/manufacturers/vendors to **supply sub-standard materials** and save on the testing charges.

It needs to be examined whether the work is being carried out with the **specified quality standards**. Site inspection should highlight the **specific quality compromises** with reference to the benchmark i.e., specified standards/specifications rather than general observation.

15.0 Leveraging Information Technology

15.1 The Government is promoting **E-Governance** to improve transparency in Government functioning. As regards public procurement, the modern IT tools can be used in enhancing transparency in the form of **E-Tendering, E-Procurement, E-Payments**

& uploading of post-tender details on the website. CVC has issued instructions in this regard from time to time.

15.2 Check-points:

- i. Whether **e-payment is being made** to the contractors/suppliers in general in the organization?
 - ii. Whether **e-payment is being made** in the instant contract?
 - iii. If e-payment is not being made, then **reasons for the same**?
 - iv. Whether CVC's instructions on **e-tendering/e-auctions/reverse-auctions** are being complied with?
 - v. Whether **post-tender details are being uploaded** on the organization's website?
-

16.0 Integrity Pact

16.1 As part of its endeavour to promote transparency in public procurement, the Commission has issued instructions for putting in place the mechanism of **Integrity Pact**. Among the important provisions in the instructions of the Commission are:

- **Mandatory provision of Integrity Pact** in the procurement contracts.
- **Appointment of Independent Monitors** (also called Independent External Monitors — IEMs) in the organisation.

16.2 Check-points:

- i. Whether the provision of Integrity Pact as approved by the Management has **correctly been incorporated in the tender documents/contracts**?

PART – S : ROTATION OF OFFICIALS IN SENSITIVE / PROCUREMENT POSTS

CVC Circular No. 03/09/13

Subject: Rotation of Officials Working in Sensitive Posts — Regarding No. 004/VGL/090/225553 | Dated 11th September 2013

Central Vigilance Commission and the Department of Personnel and Training have issued instructions for **effecting rotational transfers of officials posted on sensitive posts.**

As per Commission's instructions issued vide letter Nos. **98/VGL/60 dated 15.4.1999, 02.11.2001 and 004/VGL/90 dated 01.5.2008 and 04.01.2012** (for public sector banks) on this issue, it was prescribed that Ministries/Departments/Organisations and CVOs are to **identify the sensitive posts** and staff working in these posts and also ensure that they are **strictly rotated after every two/three years** to avoid developing vested interests.

2. The Commission in the superintendence of vigilance administration over the years has observed that such **rotational transfers are not effected in many organisations** due to which officials continue to remain in the same posts for long periods. Such **overstay and continuous postings afford scope for indulging in corrupt activities, developing vested interests** etc., which may not be in the interest of the organisation.

 **KEY PRESCRIPTION:** Officials in sensitive posts (including procurement, contracts, and purchase sections) shall be strictly rotated after every two/three years.

 **STATUTORY UPDATE (2015):** CVC reiterated this instruction vide file No. **004/VGL/090/225553 dated 11.09.2015** and all organisations were directed to ensure strict compliance. (Ref: CVC Circular No. **03/09/13** reiterated vide CGA OM dated **15.12.2015** and again by **29.04.2016**)

Circular No. 17/4/08**Subject: Rotation of Officials Dated 1st May 2008**

(Earlier instructions issued vide letter Nos. 98/VGL/60 dated 15.4.1999 and 02.11.2001)

The Commission has been issuing instructions from time to time regarding rotation of officials working in sensitive areas to avoid development of vested interests. It is reiterated that:

- Officials working in **purchase, contract, stores, accounts/finance, and works sections** are deemed to be in sensitive posts.
- Such officials shall be **rotated after every two to three years**.
- **CVOs shall maintain a list** of officials in sensitive posts and monitor their tenure.
- Any **overstay beyond three years** in a sensitive post should be immediately reported to the management for appropriate action.

PART – T : MANAGING CONFLICT OF INTEREST IN PROCUREMENT

(CVC Vigilance Manual 2021 – Chapter IX & Chapter XI)

Conflict of interest in procurement arises when an **official's personal interest** (financial or otherwise) could improperly influence his/her professional judgment or action in the discharge of official duties.

Types of Conflict of Interest in Procurement

Type	Description
Financial Interest	An official having direct/indirect financial stake in a firm that is bidding for a contract
Familial/Personal Relationship	Close relatives of the official being employed by / owning / having interest in a bidding firm

Post-Retirement Engagement	An official having knowledge that he/she may receive employment/consultancy from a firm after retirement
Reciprocal Conflict	A consultant who helped design/prepare bid documents participating in the bid for the same work
Supplier Conflict	A supplier/contractor being engaged as a consultant for the very procurement where he/she is also a bidder

Safeguards Against Conflict of Interest

- **Disclosure Requirement:** Officials involved in procurement must make a **written declaration** of any actual or potential conflict of interest at the start of every procurement process.
- **Recusal:** An official who has a conflict of interest **must recuse himself/herself** from the procurement process and the decision-making.
- **Prohibition on Consultant Participation:** A consultant engaged for **preparation of bid documents** shall not be permitted to participate in the resultant tender (*as per CVC Office Order No. 75/12/04 dated 24.12.2004 and Circular No. 08/06/11 dated 24.06.2011*).
- **Confidentiality of Tender Information:** No official shall **leak or share tender information** with any bidder before or during the tendering process.
- **Systemic Controls:** Organizations must have **documented procedures** for identifying and managing conflict of interest at each stage of procurement.

PART – U : RELEVANT GFR 2017 PROVISIONS INTERFACING WITH CVC PROCUREMENT GUIDELINES

(General Financial Rules, 2017 — Ministry of Finance, Govt. of India)

Rule No.	Subject	Key Provision
Rule 142	General Rules — Procurement of Goods	Contains general rules applicable to all Ministries/Departments regarding procurement of goods required for use in public service

Rule 143	Definition of Goods	The term 'goods' includes all materials, intangible products like software, training and maintenance, works and services
Rule 144	Fundamental Principles of Public Buying	Government procurement must be need-based; specifications must be broad-based; procurement procedures must be transparent and fair; Rule 144(xi) – Restrictions on procurement from countries sharing land border with India (<i>inserted vide DoE OM No. F.6/18/2019-PPD dated 23.07.2020</i>)
Rule 145	Authorities Competent to Purchase	Ministries/Departments have been delegated full powers to make their own arrangements for procurement of goods
Rule 146	Procurement during Mobilisation of Military Operations	Special provisions for emergency procurement during military mobilization
Rule 147	Powers for Procurement of Goods	Specific financial powers for various levels of procurement
Rule 149	Government e-Marketplace (GeM)	Government of India has established the Government e-Marketplace (GeM) for common use goods and services; procurement through GeM is mandatory for items notified as per this rule

GFR Procurement Key Rules :-

- ☉ **Rule 160:** E-Procurement mandates.
- ☉ **Rule 161:** Advertised Tender Enquiry.
- ☉ **Rule 162:** Limited Tender Enquiry.
- ☉ **Rule 166:** Single Tender Enquiry.

🔔 **STATUTORY UPDATE (2020): Rule 144(xi)** was inserted in GFR 2017 vide DoE OM No. F.6/18/2019-PPD dated 23.07.2020, restricting procurement from **bidders of countries sharing a land border with India** unless such bidder is registered with a Competent Authority. This restriction applies to all Central Government procurement. (*Ref: DoE OM dated 23.07.2020; as reiterated in Manual for Procurement of Goods, June 2022*)

PART – V : GOVERNMENT e-MARKETPLACE (GeM) – THE CURRENT PLATFORM FOR PUBLIC PROCUREMENT

GeM is the **National Public Procurement Portal** – an end-to-end online Marketplace for Central and State Government Ministries/Departments, Central & State Public Sector Undertakings, Autonomous institutions and Local bodies, for procurement of **common use goods & services**.

Key Features of GeM

Feature	Description
Direct Purchase	For order values up to Rs. 50,000 – direct purchase from any available seller on GeM (except automobiles) provided it meets the requisite quality, specification, and delivery period.
L-1 Purchase	For order values between Rs. 50,000 and Rs. 10,00,000 – buyer needs to compare 3 different OEMs or Service Providers on GeM; system recommends L-1 product
Bidding / Reverse Auction	For order values above Rs. 10,00,000 – e-Bidding/Reverse Auction on GeM
e-Bidding	Tool available on GeM for transparent competitive procurement
Reverse Auction	Available on GeM; enables buyer to obtain lowest price through competitive online bidding
Transparency	All procurement transactions on GeM are digitally recorded and auditable
INCLUSIVENESS	Provides access to MSMEs, Start-ups, women entrepreneurs, artisans (SHGs) to participate in Government procurement

GeM and GFR 2017

- **Rule 149 of GFR 2017** mandates procurement through GeM for common use goods and services as notified by the Government from time to time.
- Procurement through GeM is deemed to have followed the **requirements of obtaining quotations** as prescribed under GFR Rules.

- All **Central Government Ministries/Departments** and their attached/subordinate offices are required to mandatorily procure from GeM for items listed on the portal.

🔔 **STATUTORY UPDATE (2024–2025):** GeM continues to be the **primary platform** for Government procurement. In FY 2024-25, the GeM portal has been further enhanced with new categories of goods and services, new analytics tools and the integration of **AI-based procurement recommendations**. All India Postal Department procurement of common use items also falls under GeM mandate.

PART – W : CVC WITHDRAWAL NOTIFICATION – COMPLETE TEXT OF THE HISTORIC CIRCULAR (2022)

CVC Circular dated 11th July 2022

Subject: Updation of Manuals on Procurement of Goods, Services, Works and Consultancy, etc.

(Gist based on official CVC circular and corroborated by DoE/CVC sources)

1. The Central Vigilance Commission has been issuing various guidelines on public procurement from time to time. So far, **72 circulars** containing issue-specific guidelines had been issued.
2. Apart from the guidelines issued by CVC, the **Department of Expenditure (DoE)**, Government of India, has also been issuing guidelines on public procurement, including manuals on procurement of goods, works and consultancy and other services.
3. On other occasions, various other organisations such as **NITI Aayog** and the **Department for Promotion of Industry and Internal Trade (DPIIT)** have also issued guidelines on public procurement.
4. Due to multiple organisations issuing guidelines, procurement executives were facing problems in having a **single authoritative source of reference**.

5. CVC, after deliberations with DoE and within the organisations, has come to the logical conclusion that **it would only be appropriate if public procurement guidelines are issued from the Department of Expenditure.**

6. The DoE, in collaboration with CVC, has now updated:

- **Manual for Procurement of Goods (June 2022)**
- **Manual for Procurement of Works (June 2022)**
- **Manual for Procurement of Consultancy & Other Services (June 2022)**

Wherein **all the CVC guidelines on public procurement have been merged.**

7. These updated Manuals of DoE have been uploaded on the **CVC website** and **all the earlier guidelines of CVC on public procurement have been withdrawn.**

8. All organisations have been asked to **update/align their procurement guidelines/manuals** in line with these manuals of the DoE and upload them on their websites at the earliest for easy access of their officials and other stakeholders.

PART – X : COMPLETE STAGE-WISE SUMMARY TABLE – CHECK POINTS AT A GLANCE

Stage	Key Vigilance Focus Area
Works / Purchase Manual	Manual in place? Updated? Consistent with CVC/GFR? Officials aware?
Scope of Work	Clearly defined? Objective stated?
AA & ES	Competent authority? Budget provision? Matches scope?
Consultancy	Competitive selection? Conflict of interest avoided? Professional liability clause?
DPR / Detailed Estimate	Site investigation? Consistency of BOQ, drawings, specs? Rate analysis?
Design & Drawings	Proof checked? 'Good for construction' drawings complete?

Tender Document	Approved by Competent Authority? Standard format? Ambiguity clause? No Co-op Bank BGs
Pre-qualification	Neither too stringent nor too lax? Frozen before inviting? Approved? No bias?
NIT / Inviting Tenders	Wide publicity? Website publication? Committee notified? Tenders opened in presence of bidders?
Tender Evaluation	Per pre-notified criteria? TEC competent? No undue delay? No relaxation of specs? L-1 not ignored?
Contract Agreement	Signed within time? All documents attached? Penalty clauses active? Sub-contracting scrutinised?
Payment to Contractors	As per contract terms? No duplicate/excess payment? Advances with BGs? Tax recovery correct? Escalation formula correct?
Site Records	Bound registers with machine numbers? Signed by senior officer? No tampering?
Site Inspection	Quality standards maintained? Mandatory tests conducted at prescribed frequency?
IT Leveraging	e-payments made? Post-tender details uploaded? e-tendering complied?
Integrity Pact	IP clause in contract? IEM appointed?

PART – Y : FINAL EXAM-READY QUICK REFERENCE – KEY NUMBERS & THRESHOLDS (ALL THREE PARTS CONSOLIDATED)

Parameter	Prescribed Value	Reference
Direct purchase on GeM	Up to Rs. 50,000	Rule 149 GFR 2017
L-1 purchase on GeM	Rs. 50,000 to Rs. 10,00,000	Rule 149 GFR 2017
Bidding/Reverse Auction on GeM	Above Rs. 10,00,000	Rule 149 GFR 2017
CVC e-procurement threshold	Rs. 2.00 lakhs and above (standard)	CVC/CIL e-proc guidelines
e-payment transition — Phase 1	50% transactions by 1st July 2004	O.O. 20/4/04

e-payment transition — Phase 2	Remaining 50% by 31st Dec 2004	O.O. 20/4/04
Bill review cut-off	Above Rs. 1 lakh	O.O. 11/03/05
Performance guarantee retention	5% of bill	O.O. 11/03/05
Compliance report deadline	15.4.2005	O.O. 11/03/05
Experience period (works)	Last 7 years	CTE OM 12-02-1-CTE-6
Experience period (stores/purchase)	Last 2 years	CTE OM 12-02-1-CTE-6
Financial statements (store PQ)	Last 3 years	CTE OM 12-02-1-CTE-6
Rotation of officials (sensitive posts)	Every 2 to 3 years	CVC Circular 03/09/13
Third party audit of e-procurement	At least once a year	Circular 29/9/09
Encryption standard (e-procurement)	Minimum 128-bit (1024-bit for RSA)	Circular 29/9/09
PKI/DSC issuing authority	Licensed Certifying Authority	Circular 29/9/09
BG acceptance	Nationalised Banks only — NOT Co-operative Banks	CTE Check Points 2014
No. of CVC procurement circulars withdrawn	72 circulars	CVC Circular 11.07.2022
Current authoritative procurement manual	DoE Manuals — June 2022	CVC Circular 11.07.2022
CVC Act	No. 45 of 2003 , effective 11th Sept 2003	CVC Act 2003
CVC Vigilance Manual — current edition	Eighth Edition (Updated 2021)	CVC 2021